

24 Jul 2026 08:28:00 ET | 14 pages

Global Power Tools

Latest US Tariff Announcement Removes Overhang

CITI'S TAKE

[Per Reuters](#) (24/7/26), the US on Thursday imposed new tariffs of up to 12.5% on imports from 60 countries, replacing temporary levies that are due to expire on 25 July after the US Supreme Court struck down earlier trade measures. We see this as a positive development for the Global Power Tools sector as it removes the overhang of tariff uncertainty following the expiry of the temporary 10% tariff on 25 July. We like Techtronic > Great Star > Chervon > SWK in our coverage given their heavy exposure to the US market and tariff charged on their brand businesses.

Latest tariffs based on 'forced labour' concerns - The US has implemented new tariffs ranging from 10% to 12.5% on roughly 60 trading partners, replacing an expiring temporary 10% global levy. These new tariffs are based on US's claim that the trading partners have not properly tackled forced labor. The latest tariffs use Section 301 authority to build a stronger legal foundation following previous court rulings.

Tooling companies already budgeting for a higher tariff - According to the Reuters report cited above, TTI and SWK were already budgeting for the US tariff rate to revert to the reciprocal tariff level of 20% for their ASEAN production after the expiry of current temporary tariff on 25 July. We therefore see scope for consensus earnings upgrades for TTI and SWK as the new tariff rate of 10-12.5% replacing the temporary 10% tariff is lower than the 20% reciprocal tariff which was in place last year.

TTI's operating margin expansion prospects this year - We have recently received several investor requests on TTI's 1H26E preview. We summarize our key forecasts in Fig 1 with earnings growth likely to accelerate to 26% in 2H26E from 12% in 1H26E. We expect OPM expansion at TTI to be in greater focus this year than revenue growth. We model operating margin expansion of 60bp during 1H26 with a split of 30bp on tariff reduction (applicable rate reducing to 10% from 20% reciprocal tariff in VN), 20bp on absence of HART loss, and 10bp on mix upgrade towards MWK from Ryobi and consumer segment. Moreover, we see a higher degree of operating margin improvement of 130bp driven by 80bp on absence of HART loss, 40bp on the tariff reduction, and 10bp on mix upgrade toward MWK from Ryobi and consumer segment. We note that HART incurred a loss of 0.5% on sales in 2025 but most of the loss was incurred in 2H25 on account of impairment and higher promotion discount to clear the inventory before its divestment in end-2025.

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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[Techtronic \(0669.HK\) – Opening 3QD CW on Expectation of Good 1H26 Results](#)

Figure 1. TTI – 1H26E results preview with earnings growth acceleration in 2H26E

US\$ mn	1H23	2H23	1H24	2H24	1H25	2H25	1H26E	2H26E
Turnover	6,879	6,852	7,312	7,310	7,833	7,426	7,990	8,038
YoY	+2.1%	10.2%	6.3%	6.7%	7.1%	1.6%	2.0%	8.2%
COGS	(1,171)	(4,134)	(4,391)	(4,335)	(4,677)	(4,290)	(4,707)	(4,605)
Gross profit	5,708	2,718	2,921	2,975	3,156	3,136	3,283	3,432
Other revenue	37	25	40	48	35	39	39	39
Distribution cost	(1,117)	(1,160)	(1,244)	(1,259)	(1,350)	(1,369)	(1,377)	(1,452)
YoY	+1.1%	11.8%	4.8%	8.5%	8.5%	8.7%	2.0%	6.0%
Administrative cost	(713)	(687)	(760)	(730)	(743)	(748)	(769)	(782)
YoY	+1.4%	12.1%	5.6%	6.3%	-2.2%	2.5%	3.5%	4.5%
Research and development cost	(143)	(305)	(298)	(350)	(359)	(398)	(374)	(421)
YoY	+1.1%	20.7%	22.4%	14.8%	20.5%	13.6%	4.0%	5.9%
Operating profit	593	590	659	684	739	660	802	817
Finance cost	(71)	(46)	(65)	(61)	(58)	(39)	(39)	(34)
Associates	(1)	(0)	(0)	0	0	(0)	0	(0)
Profit before taxation	521	545	594	623	681	621	763	783
Taxation	(33)	(44)	(43)	(51)	(53)	(51)	(61)	(64)
Profit before minority	488	501	550	571	628	570	702	719
Minority interests	(1)	0	0	0	0	0	0	0
Net profit	487	501	550	571	628	570	702	719
EPS	4.07	4.18	4.58	4.76	5.23	4.75	5.85	5.99

	1H23	2H23	1H24	2H24	1H25	2H25	1H26E	2H26E
Gross margin	83.0%	39.7%	40.1%	40.6%	40.2%	42.3%	41.0%	42.8%
Operating margin	8.6%	8.6%	9.0%	9.4%	9.4%	8.9%	10.0%	10.1%
Core operating margin	8.6%	8.6%	9.0%	9.4%	9.4%	8.9%	10.0%	10.1%
Operating margin excluding	17.2%	8.6%	9.0%	9.4%	9.4%	8.9%	10.0%	10.1%
Operating margin excluding	17.2%	8.6%	9.0%	9.4%	9.4%	8.9%	10.0%	10.1%
SG&A margin	16.2%	16.2%	16.8%	16.8%	17.2%	17.2%	17.2%	17.2%
Total operating expense margin	33.4%	24.8%	25.8%	26.2%	26.6%	26.1%	27.2%	27.3%
Effective tax rate	6.2%	8.1%	7.4%	8.1%	7.8%	8.1%	7.9%	8.2%

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Source: Citi Research, Company Reports

Chervon

(2285.HK; HK\$19.06; 1; 24 Jul 26; 16:10)

Valuation

We believe the PE and discounted cash flow (DCF) methodologies are appropriate for Chervon, with PE reflecting growth momentum while the company delivers stable income streams as forecast in a DCF. We value Chervon at HK\$24 based on an 11x PE for 2027E, or a ~40–50% discount to the global comp average owing to its smaller scale of operation. We employ 11x PE for 2027E from prior 2026E due to 2026E being the first year of earnings recovery after the termination of IEEPA tariff since Feb 2026. The upcoming tariffs under Section 122 of up to 12.5% are well below IEEPA tariffs, in general. We cross-check with our DCF model, which derives a fair value of HK\$25 assuming WACC of 7.8% and terminal growth rate of 2%. In our DCF, we forecast free cash flow over a seven-year time horizon up to FY30 and then use the WACC to discount back.

Risks

Our default risk rating for stocks such as Chervon with a short trading history (IPO in December 2021) is High Risk; however, we think a High Risk rating is not justified in this case given the company's solid financials, global leading position on OPE, strong global customer base, and long operating history since 1994.

Key downside risks to our target price include higher-than-expected new trade tariffs for the US; worse-than-expected volume growth if US sets to raise interest rate; market share loss in power tools segment which is the weakest link to the company.

Key upside risks to our target price include a relief from US reciprocal tariffs on China and Vietnam; better-than-expected demand for Chervon; and strong share win despite the tariff hike in the US.

Hangzhou Great Star Industrial

(002444.SZ; Rmb27.95; 1; 24 Jul 26; 15:00)

Valuation

We value Great Star at Rmb49 per share based on a ~19x 2026E PE target multiple, which is on par with mean given the return of a normal cycle from 2026E assuming no further deterioration of US reciprocal tariff policy from 2026E. We project a 3-year-forward EPS CAGR of 16% through 2028E after slower growth of 9% in 2025E under the US reciprocal tariff. Key drivers include: 1) GS is likely to deliver teens revenue growth for core hand tools on general maintenance centric in overseas markets like North America, which is quite resilient; 2) a strong ~50% revenue CAGR to over US\$1bn in 2028 for electric power tools and energy storage system for low base; and 3) plant relocation into ASEAN from China to lower production costs and tariff (versus rivals that are China production dependent) for the US/EU markets.

Risks

Although our quant model rates GS shares as High Risk, we do not assign a High Risk rating due to removal of the overhang for logistics and materials cost pressure. Key downside risks that could cause the shares to trade below our target price include: 1) a worse-than-expected macro slowdown in the US/EU amid an interest rate upcycle; and 2) RMB appreciation versus USD as GS earnings are negatively correlated with RMB appreciation.

Stanley Black & Decker

(SWK.N; US\$87.41; 1; 23 Jul 26; 16:00)

Valuation

We value SWK shares at US\$100 based on a 18x 2026E PE, which is based on -0.5SD to mean from prior 19-20x PE in 2025 after release of 2025 results. We employ the -0.5SD to mean as the benchmark based on: 1) 2026 operating / gross margins would continue improving thru better efficiency and cost reduction program, 2) the industry will likely resume a normal growth from 2026, which would apply all peers, and SWK would likely surpass industry growth. In addition, the worst for profitability downcycle in 2023 should be behind us.

Risks

Key downside risks include: 1) worse-than-expected end demand in the US/EU on an economic slowdown; 2) higher-than-expected materials costs; 3) execution error to slow the GM expansion pace; and 4) worse-than-expected trade tariff under

the Trump admin.

Key upside risks include: 1) USD weakness, which may lead to higher FX gains for its Europe and EM exposure; and 2) faster-than-expected electrification trend in the Outdoor tools segment.

Any of these risk factors could cause the shares to deviate from our target price.

Techtronic

(0669.HK; HK\$128.1; 1; 24 Jul 26; 16:10)

Valuation

We value TTI at HK\$150 per share based on a ~20x 2027E P/E, on par with the mean on the back of three-year forward EPS CAGR of 18% through 2028E. Our TP target rolls over to 2027E PE from 2026E after the 2025 results. TTI should accelerate revenue growth to 5-6% in 2026E from ~4% in 2025, which was slightly dragged by price inflation amid US reciprocal tariffs. From 2026E, TTI expects to completely shift China production for its US segment, mainly to Vietnam, the US, and Mexico. Separately, we expect the housing market and construction activity to be enhanced by lower funding costs amid the expected US rate downcycle through 2026E. MWK revenue growth should fall into the low-double-digit range over the next three years through 2028E. In addition, TTI's business model of maintaining high-single-digit revenue growth along with margin expansion remains intact. Our target price puts the stock at ~4.6x 2026E book value, in line with +1SD over the mean due to TTI's persistent rise in ROE.

Risks

Downside risks that could cause the shares to fail to reach our target price include: 1) worse-than-expected US and EU macro conditions in 2026-27E; 2) worse-than-expected demand after price inflation amid US reciprocal tariffs; 3) worse-than-expected housing starts; 4) slower-than-expected economic growth in Europe amid geopolitical risk; 5) weaker-than-expected USD; and 6) worse-than-expected US tariffs in ASEAN and Mexico.

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Appendix A-1

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IMPORTANT DISCLOSURES

Hangzhou Great Star Industrial (002444.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Eric Lau



	Date	Rating	Target Price	Closing Price
1	24-Aug-23 12:48:11	1	*30.50	20.92
2	21-Sep-23 21:03:38	1	*30.00	18.58
3	21-Jan-24 18:31:21	1	*31.00	22.19
4	30-Jun-24 21:31:43	1	*34.00	24.70

	Date	Rating	Target Price	Closing Price
5	25-Sep-24 11:10:43	1	*37.00	27.43
6	29-Apr-25 12:21:01	1	*35.00	22.91
7	29-Jun-25 19:08:46	1	*33.00	25.48
8	26-Aug-25 19:04:07	1	*45.00	34.70

	Date	Rating	Target Price	Closing Price
9	30-Oct-25 12:52:40	1	*43.00	29.09
10	30-Nov-25 18:23:34	1	*46.00	31.42
11	26-May-26 12:29:48	1	*49.00	33.97

*Indicates Change

Rating/target price changes above reflect Eastern Time

Techtronic (0669.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Eric Lau



	Date	Rating	Target Price	Closing Price
1	09-Aug-23 15:07:25	1	*108.00	95.15
2	17-Dec-23 17:22:01	1	*118.00	88.70
3	20-Feb-24 13:48:01	1	*113.00	83.10

	Date	Rating	Target Price	Closing Price
4	06-Mar-24 17:26:48	1	*116.00	92.25
5	06-Aug-24 15:01:08	1	*120.00	91.55
6	26-Sep-24 14:21:06	1	*140.00	117.90

	Date	Rating	Target Price	Closing Price
7	01-May-25 12:53:14	1	*110.00	78.40
8	05-Aug-25 18:17:23	1	*125.00	94.50
9	03-Mar-26 11:53:53	1	*150.00	123.50

*Indicates Change

Rating/target price changes above reflect Eastern Time

Chervon (2285.HK)

Ratings and Target Price History Fundamental Research

Analyst: Eric Lau



	Date	Rating	Target Price	Closing Price
1	28-Aug-23 13:27:38	1	*40.00	24.99
2	20-Nov-23 18:26:31	1	*24.00	17.63
3	28-Mar-24 17:58:21	1	*27.00	17.86
4	04-Jul-24 19:27:51	1	*31.00	17.79

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	27-Aug-24 14:05:48	1	*32.00	17.42
6	16-Oct-24 12:05:46	1	*34.00	19.69
7	26-Mar-25 14:15:49	*2	*21.00	17.53
8	09-Apr-25 00:51:38	*3	*8.00	10.62

	Date	Rating	Target Price	Closing Price
9	18-Jun-25 12:39:40	3	*11.80	15.14
10	22-Jul-25 09:47:26	3	*14.50	17.80
11	25-Mar-26 11:51:46	3	*17.50	20.88
12	01-Jul-26 11:19:25	*1	*24.00	16.60

Rating/target price changes above reflect Eastern Time

Stanley Black & Decker (SWK)

Ratings and Target Price History Fundamental Research

Analyst: Eric Lau



	Date	Rating	Target Price	Closing Price
1	01-Aug-23 13:17:28	2	*110.00	103.98
2	27-Oct-23 12:34:16	*1	*118.00	82.03
3	01-Feb-24 12:02:03	1	*110.00	91.86

*Indicates Change

	Date	Rating	Target Price	Closing Price
4	02-May-24 12:24:21	1	*100.00	84.99
5	30-Jul-24 19:32:40	1	*135.00	106.05
6	05-Feb-25 18:23:41	1	*118.00	85.62

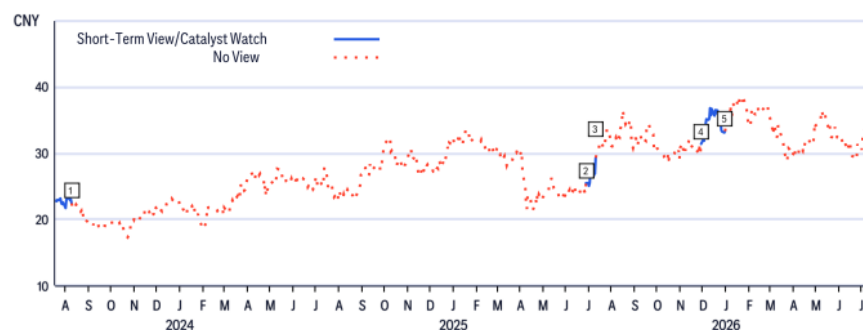
	Date	Rating	Target Price	Closing Price
7	30-Apr-25 16:00:23	1	*90.00	60.02
8	05-Feb-26 10:30:01	1	*100.00	85.57

Rating/target price changes above reflect Eastern Time

Hangzhou Great Star Industrial (002444.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



	Date	Action	Expected Direction	Duration	Closing Price
1	09-Aug-23 13:04:41	Remove CW	Upside	30 Days	22.43
2	29-Jun-25 15:08:46	Add CW	Downside	30 Days	25.48

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
3	10-Jul-25 00:08:49	Remove CW	Downside	30 Days	29.32
4	30-Nov-25 13:23:34	Add CW	Upside	30 Days	31.42

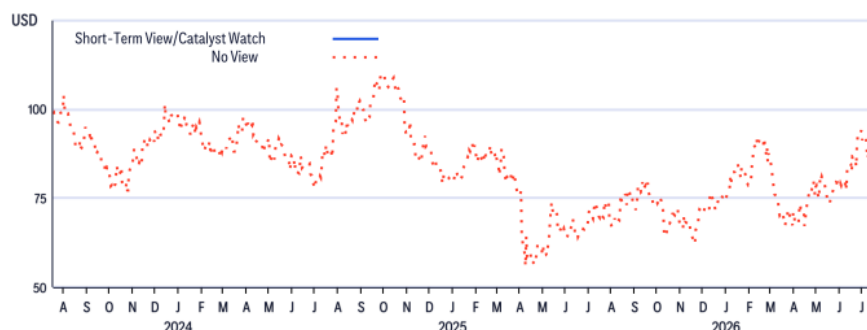
	Date	Action	Expected Direction	Duration	Closing Price
5	30-Dec-25 21:13:38	Remove CW	Upside	30 Days	33.34

Rating/target price changes above reflect Eastern Time

Stanley Black & Decker (SWK)

Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



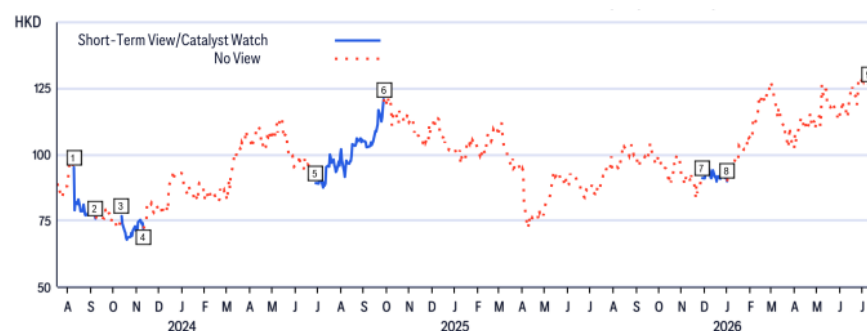
*Indicates Change

Rating/target price changes above reflect Eastern Time

Techtronic (0669.HK)

Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



	Date	Action	Expected Direction	Duration	Closing Price
1	09-Aug-23 11:07:25	Add CW	Downside	30 Days	95.15
2	09-Sep-23 00:19:11	Remove CW	Downside	30 Days	75.80
3	12-Oct-23 05:59:07	Add CW	Upside	30 Days	76.70

	Date	Action	Expected Direction	Duration	Closing Price
4	10-Nov-23 22:18:03	Remove CW	Upside	30 Days	72.00
5	30-Jun-24 22:44:12	Add CW	Upside	90 Days	89.20
6	27-Sep-24 14:26:41	Remove CW	Upside	90 Days	120.90

	Date	Action	Expected Direction	Duration	Closing Price
7	30-Nov-25 21:24:30	Add CW	Upside	30 Days	91.10
8	31-Dec-25 22:13:40	Remove CW	Upside	30 Days	89.90
9	09-Jul-26 05:59:42	Add CW	Upside	30 Days	126.70

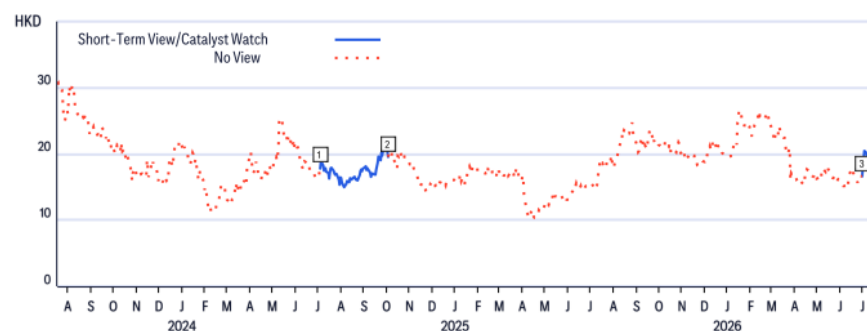
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Chervon (2285.HK)

Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



	Date	Action	Expected Direction	Duration	Closing Price
1	04-Jul-24 15:27:51	Add CW	Upside	90 Days	17.79

	Date	Action	Expected Direction	Duration	Closing Price
2	03-Oct-24 00:26:38	Remove CW	Upside	90 Days	19.55

	Date	Action	Expected Direction	Duration	Closing Price
3	01-Jul-26 07:19:25	Add CW	Upside	30 Days	16.60

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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